Effective Date:
October 1, 2025

Background:
Income Reporting Threshold (IRT)
Under Semi-Annual Reporting (SAR) and Annual Reporting/Child-Only (AR/CO) regulations, customers are required to report only certain changes in their income or family circumstances mid-period. One such mandatory mid-period report is when the Assistance Unit's (AU) total earned income, or combined unearned and earned income, exceeds the IRT level. An AU with only unearned income is not required to report when unearned income exceeds the IRT level mid-period.

The IRT level for an AU is the lower of the two following tiers:
1. Tier 1: 55% of the Federal Poverty Level (FPL) for a family of three, plus the amount of income last used to calculate the AU's monthly grant amount.
2. Tier 2: 130% of the FPL which is also the level of income at which a household may become financially ineligible for CalFresh.

Purpose:
The purpose of this Special Notice is to inform staff of IRT levels increase. The increase takes effect October 1, 2025.

Policy:
IRT
Customers must be informed of their IRT level at least once per SAR or AR/CO payment period or whenever the AU's IRT level changes. The IRT level in which the customer was last notified will be used for reporting purposes until the county informs the customer of a change in their IRT level.

Procedure:
IRT
The informing notice that provides the IRT limits must be individualized for each AU. Staff will inform customers of their IRT level at least once per payment period or whenever the AU's IRT changes. Upon approval of an application and any time the AU's IRT level changes during the recertification/payment period, the IRT level must be provided to the customer using SAR 2 – Reporting Changes for Cash Aid and CalFresh, AR 2 - Reporting Changes for CalWORKs and CalFresh, or AR 2 SAR - Reporting Changes for CalWORKs and CalFresh form as appropriate. The SAR 2, AR 2, or AR 2 SAR forms are generated in CalSAWS. Staff are to review the information in the form and provide the appropriate form to the customer.

The IRT level in which the customer was last notified will be used for reporting purposes. The new IRT level will be applied as soon as the customer receives the notification of a change in their IRT level. Staff will not use the new IRT for any AU until the AU has received notification that their IRT has changed, and the new IRT level will not be retroactively applied to the case.

A report of income over the IRT may result in either a mid-period decrease or discontinuance of CalWORKs. Once the family receives income in excess of the IRT and reports it, staff must take action to determine continued financial eligibility. If the new Net Nonexempt Income (NNI) will continue but is

at a level not exceeding the AU's Tier 2, staff must use the new NNI to recalculate the grant amount based on the reported income. If staff determine the grant should be decreased, the grant will be decreased at the end of the month in which timely and adequate notice can be provided. If the NNI is reasonably anticipated to continue to exceed the AU's Tier 2 IRT for the remainder of the payment period, staff will determine the AU financially ineligible and discontinue the AU at the end of the month in which timely and adequate notice can be provided.

As long as the AU's NNI does not exceed the Tier 2 IRT (130% of the FPL), the case will stay open, and the AU may remain eligible for supportive services and CalWORKs special needs. This may also allow some CalWORKs cases to remain open with a Zero Basic Grant (ZGB) if the AU's NNI remains below 130% of the FPL.

Impacts:

Refugee Cash Assistance (RCA) and Trafficking and Crime Victims Assistance Programs (TCVAP)
The above instructions also apply to RCA and TCVAP, unless specifically superseded by RCA/TCVAP regulations.

CalFresh
CalFresh income eligibility standards by household size will be updated and issued separately.

Automation
The CalSAWS reference tables, to reflect the new IRT levels, have been updated. Additional information and case exceptions and online correspondence reports will be issued to staff for appropriate action.

Forms and Document Capture
The SAR 2, AR 2, and AR 2 SAR forms are available for immediate use in CalSAWS.

Scratch Budget/Assistance Charts
The CalWORKs-CalFresh Scratch Budget has been updated with the new IRT levels for October 2025. The CalWORKs Assistance Standards Chart has been updated with the new IRT levels.

References:
All County Letter No. 25-61.

Sunset Date:
This policy will be reviewed for continuance by October 31, 2026.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services